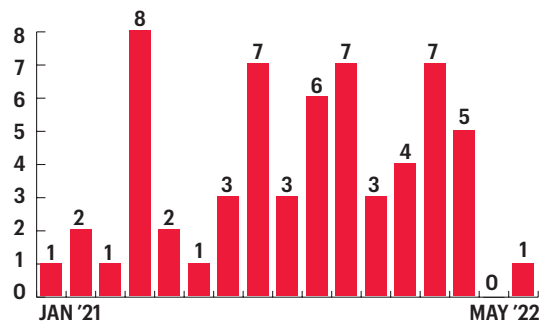


UNICORN CREATION SLOWS DOWN

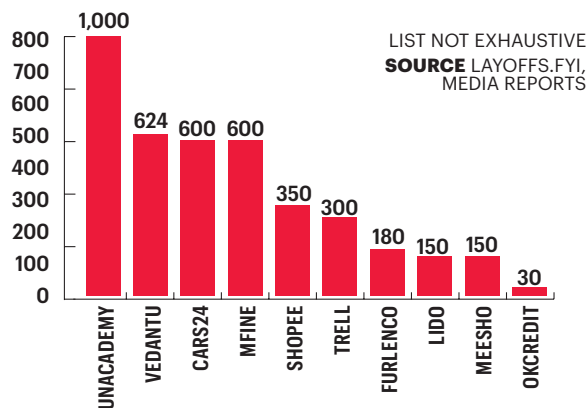
For the first time in more than a year, no new unicorns emerged in April



SOURCE: PGA LABS

PINK SLIPS GALORE

At least 24 venture-backed start-ups have announced layoffs, sacking around 10,000 people over the first five months of this year



LIST NOT EXHAUSTIVE
SOURCE: LAYOFFS.FYI,
MEDIA REPORTS

Amidst this fear and uncertainty, if you look closer, there are many silver linings for India that give hope that the current shift wouldn't be as bad as the great recession of 2008-09.

FOR INDIAN VCs, 2021 was a dramatic year. Bain & Company's India Venture Capital Report 2022 says the country's active investor count expanded to 665 in 2021 from 516 in 2020. Several leading Indian VC funds including Accel, Elevation Capital, Chiratae Ventures, A91 Partners, Bessemer Venture Partners (India) and Blume Ventures have raised new funds in the past 18 months because LPs, especially global ones, saw explosive digital growth and consumer adoption during the pandemic, which would otherwise have taken several years. Besides, investors continue to be excited by India's maturing digital infrastructure driven by UPI-led payment platforms and cheap internet data-driven digital adoption even in India's hinterlands. As per an IVCA-Preqin Factsheet, Indian VC funds were sitting on \$15 billion worth of dry powder as of September 2021.

While the capital in VC coffers offers a glimmer of optimism to early- to mid-level start-ups, the late-stage funding gap vacated by aggressive VCs may potentially be filled by global investing houses such as hedge funds, sovereign wealth

funds and pension funds which were not very active in the Indian market, says a senior executive at a large global fund. "Large investors, especially listed ones, react to the market quicker than others. While they may pause and evaluate, many hedge funds and state-owned funds are keenly looking at India's digital growth. They might ask harder questions, but are ready to invest top dollar," he says.

And with geopolitical and regulatory risks in China rising, India remains the largest consumer market available for global investors. Despite the gloom, India's digital GDP is growing at a phenomenal pace. Finance Minister Nirmala Sitharaman recently said growing internet penetration and increasing income levels will enable the country's digital economy to touch \$800 billion by 2030. A large digital economy can draw global dollars into India, especially when investors are trimming their China exposure.

"India absorbed \$123 billion in the past two years vis-à-vis \$200 billion in the past five years. Annually, this is about 1.8 per cent of our current GDP. With the coming of age of alternative investments, we expect the alternative asset penetration to GDP to go to at least 3 per cent if not 5 per cent. We see India's absorptive capacity at \$500-750 billion in the next five years," Renuka Ramnath, Chairperson, IVCA and Founder, MD & CEO, Multiples Alternate Asset

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The number of active venture capital investors in 2021, according to Bain & Company; the number was 516 in 2020